

Business Data Management (Part - 5)

Financial Ratios

This video explains **two important types of financial ratios**:

1. **Liquidity Ratios** → Can the company pay its **short-term bills**?
2. **Solvency Ratios** → Is the company financially strong enough in the **long term**?

1) First: What is a Ratio?

A **ratio compares two numbers** to help us understand something better.

In a company:

Instead of looking at numbers separately, we compare them.

For example:

Profit ÷ Sales → How efficiently is the company making profit?

Ratios help us compare:

- **Company A vs Company B**
- **This year vs previous years**

So, ratios tell us whether a company is **improving, declining, efficient, or facing problems**.

2) Liquidity Ratios

Simple meaning:

Does the company have enough short-term money/assets to pay its short-term bills?

Imagine you have ₹1,000 in your pocket and a bill of ₹700 due tomorrow. You are in a good position because you can pay it.

Companies face the same situation!

Company Has	Company Needs to Pay
Current Assets	Current Liabilities

Current Ratio

Formula:

Current Ratio

= Current Assets / Current Liabilities

What are Current Assets?

Assets expected to be used or converted into cash in the short term:

- Cash
- Inventory/Stock
- Receivables (money customers owe)
- Marketable securities

What are Current Liabilities?

Short-term payments the company needs to make:

- Bills to suppliers
- Short-term loans
- Other upcoming expenses

Example:

- Current Assets = ₹133
- Current Liabilities = ₹100

Current Ratio = 133/100 = 1.33

Meaning:

For every **₹1** the company needs to pay, it has **₹1.33** of current assets.

According to the lecture, **around 1.33:1** is considered a useful

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benchmark, although the appropriate ratio can vary.

Is a very high ratio always good?

No!

If the ratio is 4:1, it might mean too much money is sitting in:

- Unsold inventory
- Uncollected customer payments

So the company may **not be using its resources efficiently.**

Good liquidity doesn't mean keeping unlimited assets. It means having enough assets available when needed.

Quick Ratio

The problem with the Current Ratio is that it includes **inventory**. But inventory may take time to sell and become cash.

So we use a stricter test.

Formula:

Quick Ratio

= (Current Assets - Inventory) / Current Liabilities

Example:

- Current Assets = ₹150
- Inventory = ₹50
- Current Liabilities = ₹100

$$\text{Quick Ratio} = (150 - 50) / 100 = 1$$

Meaning:

Even **without selling inventory**, the company has enough

resources to pay its short-term bills.

Easy difference:

Current Ratio	Quick Ratio
Includes inventory	Excludes inventory
Normal liquidity test	Stricter liquidity test
Can the company pay short-term bills?	Can it pay quickly without selling stock?

Always look at both ratios together.

Solvency Ratios

Liquidity looks at the **short term**.

Solvency looks at the **long term**.

Simple question:

Is the company carrying too much debt, and can it survive financially in the long run?

Two important ratios discussed are:

1. **Debt-Equity Ratio**
2. **Interest Coverage Ratio**

Debt-Equity Ratio

Formula:

Debt-Equity Ratio = Total Equity / Long-Term Debt

Simple Example:

The owner puts ₹1 into the business and the company borrows ₹2 from a bank.

$$\text{Debt-Equity Ratio} = 2/1 = 2:1$$

Meaning:

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For every **₹1 of the company's own money**, it has borrowed **₹2**. According to the lecture, **around 2:1 is a broad rule of thumb**, but it depends heavily on the industry.

For example, infrastructure and construction companies often need more borrowing because their projects require large amounts of capital.

Very high Debt-Equity Ratio

A ratio like **5:1 or 6:1** may indicate:

- Heavy dependence on borrowed money
- Higher financial risk
- More difficulty during bad business periods

Interest Coverage Ratio (ICR)

Having debt isn't automatically bad.

The important question is:

Can the company earn enough money to pay the interest on its debt?

That's what the Interest Coverage Ratio checks.

Basic Idea:

Interest Coverage Ratio = $\frac{\text{Interest Payment}}{\text{Available Earnings}}$

Example from the lecture:

- Available earnings = ₹300
- Interest to pay = ₹100

$$ICR = \frac{300}{100} = 3$$

Meaning:

The company earns **3 times the amount needed to pay its interest**. The lecture suggests that **around 2–3 times** can indicate a healthier position.

A Dangerous Combination

Imagine:

- Debt-Equity Ratio = **5:1**
- Interest Coverage Ratio = **less than 1**

This means:

The company has borrowed a lot **and** is not earning enough to pay its interest.

This is a **high-risk situation**.

The Big Picture

Ratio Type	Main Question	Time Period
Liquidity Ratio	Can the company pay its upcoming bills?	Short-term
Solvency Ratio	Can the company handle debt and remain financially stable?	Long-term

Efficiency and Profitability Ratios

Financial ratios help us understand **how well a company is running**. In this part, we focus on two things:

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- **Efficiency** → How well the company uses its resources.
- **Profitability** → How much return the company earns.

1. Efficiency Ratios

Imagine a company has money invested in **customers, inventory, and machines**. Efficiency ratios tell us whether the company is using these things properly.

Debtors Turnover Ratio

Sometimes customers buy now and promise to pay later. The money the company still has to collect is called **debtors or receivables**.

This ratio tells us **how quickly the company collects that money**.

Debtors Turnover =

Credit Sales/Average Debtors

Example:

If credit sales are ₹100 and debtors are ₹10:

$$100 \div 10 = 10$$

A higher number generally means the company is collecting money faster.

To convert this into days:

Collection Days = Debtors Turnover
365

Higher turnover = fewer days to collect money = generally better.

Inventory Turnover Ratio

Inventory means the products or materials a company has in stock.

This ratio tells us:

How quickly is the company's stock turning into sales?

Inventory Turnover =

Total Sales/Average Inventory

Example:

Sales = ₹4 lakh

Inventory = ₹80,000

$$4,00,000 \div 80,000 = 5 \text{ times}$$

If the company sells and replaces its inventory more frequently, the ratio becomes higher.

A low ratio can mean that **too much stock is sitting unused**.

Total Asset Turnover Ratio

A company may own buildings, machines, equipment, and other assets. But simply owning assets is not enough—they should help generate sales.

Asset Turnover = Total Assets / Total Sales

Simple idea:

How much sales can the company generate from the assets it owns?

If ₹10 lakh worth of assets generates ₹20 lakh in sales:

$$20 \div 10 = 2 \text{ times}$$

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Generally, a higher ratio means the company is getting more sales from its assets.

2. Profitability Ratios

Efficiency tells us how well things are being used.

But the final question is:

Is the company making enough profit?

Profitability ratios answer this question from different angles.

Net Profit Margin

This tells us **how much profit remains after earning sales and paying expenses.**

Net Profit Margin=
 $(\text{Net Profit}/\text{Total Sales}) \times 100$

Example:

Sales = ₹10 lakh

Net Profit = ₹1.5 lakh

$1.5/10 \times 100 = 15\%$

Simple meaning:

For every ₹100 of sales, the company keeps ₹15 as profit.

A higher margin usually means the company is managing its business costs more effectively or earning better prices.

Return on Assets (ROA)

ROA asks:

The company owns assets—but how much

profit do those assets help create?

ROA=

$(\text{Net Profit}/\text{Total Assets}) \times 100$

Example:

Profit = ₹2 lakh

Assets = ₹20 lakh

$(2/20) \times 100 = 10\%$

So the company is earning a **10% return from its assets.**

Return on Equity (ROE)

Equity is the money belonging to the owners or shareholders.

ROE asks:

How well is the company using the shareholders' money to make profit?

ROE=

$(\text{Net Profit}/\text{Shareholders' Equity}) \times 100$

Example:

Profit = ₹1 lakh

Shareholders' Equity = ₹5 lakh

$(1/5) \times 100 = 20\%$

This means ₹100 invested by shareholders is generating ₹20 in profit.

Return on Capital Employed (ROCE)

A business can get money from two major sources:

1. **Owners/shareholders → Equity**

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2. **Banks/lenders** → Long-term debt

ROCE looks at how well the company uses **both sources together**.

ROCE

$$= \frac{EBIT}{Equity + Long Term Debt} \times 100$$

Example:

EBIT = ₹2 lakh

Total Capital = ₹10 lakh

$$(2/10) \times 100 = 20\%$$

Why EBIT?

Because we are checking the return generated by the **whole business**, before considering interest paid to lenders and taxes.

The main idea:

ROCE tells us how efficiently the company's total long-term money is being used to generate earnings.

EBIT vs EBITA

Formula

EBIT =

Revenue - Operating Expenses

You can also calculate it from Net Profit:

EBIT = Net Profit + Interest + Taxes

EBITDA = Earnings Before Interest, Taxes, Depreciation and Amortization

The difference is that **EBITDA also ignores depreciation and amortization**.

Formula

EBITDA

= EBIT + Depreciation + Amortization

Easy memory trick

EBIT → Remove **Interest + Tax**

EBITDA → Remove **Interest + Tax + Depreciation + Amortization**

Market Valuation Ratios

Until now, we looked at whether a company is financially healthy and profitable. **Market valuation ratios look at the company from an investor's point of view.**

The main question is:

"Based on the company's earnings and share price, what am I getting as an investor?"

This video explains **three important ratios**:

1. Earnings Per Share (EPS)
2. Price-to-Earnings Ratio (P/E Ratio)
3. Dividend Yield

Earnings Per Share (EPS)

EPS tells us:

How much profit belongs to each equity share.

Formula

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$\text{EPS} = \text{Profit After Tax} / \text{Number of Outstanding Equity Shares}$

Example

Suppose:

- Company Profit After Tax = ₹200

- Total Shares = 100

$\text{EPS} = 200 / 100 = ₹2$

What does ₹2 EPS mean?

It means that, based on the company's total profit, **each share represents ₹2 of earnings.**

EPS alone doesn't tell us whether a company is a good investment. It becomes more useful when we compare:

- The company's EPS over different years
- Its EPS with similar companies

Price-to-Earnings (P/E) Ratio

This is one of the most commonly used ratios by investors.

It asks:

"How much money is the market willing to pay for ₹1 of the company's earnings?"

Formula

$\text{P/E Ratio} =$

$\text{Market Price Per Share} / \text{Earnings Per Share (EPS)}$

Example

- Share Price = ₹50
- EPS = ₹5

$\text{P/E} = 50 / 5 = 10$

What does P/E = 10 mean?

Simply put:

Investors are paying **₹10 for every ₹1 the company earns per share.**

High P/E Ratio

A high P/E can mean:

- Investors expect the company to grow strongly in the future
- The company is highly valued by the market

But it can also mean:

- The share price may be expensive compared to its current earnings

So **high P/E is not automatically good or bad.** We need to compare it with competitors and understand the company's situation.

Dividend Yield

Some companies share part of their profits with shareholders. This payment is called a **dividend**.

Dividend Yield tells us:

"How much dividend return am I getting based on the current price I paid for the share?"

Formula

$\text{Dividend Yield} =$

$(\text{Annual Dividend Per Share} / \text{Market Price Per Share}) \times 100$

Example

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- Annual Dividend per Share = ₹2
 - Current Share Price = ₹40
- $(2/40) \times 100 = 5\%$

What does 5% mean?

If you buy the share at ₹40, the company is paying a dividend equivalent to **5% of that share price** (based on the stated annual dividend).

This ratio is especially useful for investors who want **regular cash income from their investments**.

Easy Comparison

Ratio	Simple Question It Answers
EPS	How much profit is generated per share?
P/E Ratio	How much are investors paying for those earnings?
Dividend Yield	How much dividend return do investors receive compared to the share price?

Simple memory trick:

- **EPS = What the company earns**
- **P/E = What the market pays**
- **Dividend Yield = What the shareholder receives**

Management Accounting & Cost Accounting

1. Financial Accounting

Financial accounting **records, measures, classifies, and summarizes financial transactions** of a business.

Main objectives

- Find the **profit or loss** of the business.
- Understand the **financial position** (assets and liabilities).

Main Financial Reports

1. **Income Statement / Profit & Loss Account** → Shows profit or loss during a period.
2. **Balance Sheet** → Shows assets, liabilities, and financial position on a specific date.
3. **Cash Flow Statement** → Shows movement of cash through:

- Operating activities
- Investing activities
- Financing activities

Who uses Financial Reports?

Mostly **external stakeholders**, such as:

- Investors and shareholders
- Lenders and banks
- Government and regulators
- Suppliers

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Financial accounting reports are generally **mandatory and follow fixed rules and formats**.

2. Why Do We Need Management Accounting?

Financial accounting has some limitations. Management accounting helps overcome them.

Financial Accounting	Management Accounting
Focuses on the past	Focuses on the future
Uses mainly financial data	Uses financial + non-financial data
Fixed formats and regulations	Flexible reports based on needs
Mainly for external users	Mainly for internal management

Non-financial data examples

- Employee productivity
- Product quality
- Defect rate
- Customer expectations

Simple idea: Financial accounting tells us **what happened**, while management accounting helps decide **what to do next**.

3. Purpose of Management Accounting

Management accounting helps managers:

Planning and Forecasting

- Prepare for the future.

- Predict business conditions and requirements.

Cost Control

- Identify and reduce unnecessary costs.
- Keep costs within planned limits.

Decision-Making

Helps in decisions such as:

- What price should be charged?
- Should the company enter a new market?
- Should it invest in a new machine or project?
- How should resources be used efficiently?

Responsibility Centres

The organization can be divided into:

- **Cost Centres**
- **Profit Centres**
- **Investment Centres**

This helps identify who is responsible for costs and performance.

4. Important Management Accounting Reports

1. Cost Sheets

Show the detailed cost of producing a product or performing a process.

Costs may include:

- Materials
- Labour
- Direct expenses

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- Factory expenses

Purpose: Understand where money is being spent and control costs.

2. Budgets

Budgets are **future estimates or plans**.

Types include:

- **Operating Budgets** → Sales, production, purchases, expenses, etc.
- **Budgeted Income Statement** → Expected future profit or loss.
- **Financial Budgets** → Cash budget and projected balance sheet.

3. Variance / Performance Reports

Compare:

Budgeted (Expected) Performance vs Actual Performance

This helps find whether:

- Costs are higher than planned → **Cost overrun**
- Costs are within or below the budget → **Good cost control**

Managers then investigate the reasons and take corrective action.

5. Uses of Management Accounting Reports

1. Provides a Roadmap

Budgets give departments clear targets and expectations.

2. Evaluates Performance

Actual results are compared with planned results to identify problems.

3. Controls Costs

Cost sheets help identify high-cost areas and reduce unnecessary expenses without reducing quality.

4. Manages Cash

Cash budgets help managers identify:

- **Cash shortage** → May need borrowing.
- **Excess cash** → May consider investment opportunities.

Application of Management Accounting

1. Cost Variance Analysis

Variance means the difference between **expected (budgeted) cost and actual cost**.

Example: Air Conditioner

- Estimated cost = ₹22,000
- Actual cost = ₹26,000
- **Adverse variance = ₹4,000**

Instead of simply increasing the selling price, the company should analyze the **cost sheet** to find the reason for the extra cost.

Possible causes:

- Higher material cost
- Higher labour cost
- Higher overhead expenses

Goal: Find the cause of the variance and control costs.

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2. Cost Reduction

In a competitive market, increasing the selling price may reduce sales. Therefore, companies should focus on **reducing costs**, which are largely under their control.

Cost-Benefit Principle

The cost of implementing a cost-saving measure should not be greater than the benefit or savings obtained.

Also, cost reduction should **not significantly reduce product quality**.

3. Major Areas for Cost Reduction

A. Material Cost

Material cost is often a major part of production cost.

Ways to reduce it:

- Source materials from cheaper or global suppliers.
- Buy directly from manufacturers and remove middlemen.
- Purchase in bulk to get discounts.

B. Labour Cost

Reduce labour cost by improving **productivity**.

Higher-skilled workers may cost more but can:

- Produce more in less time.
- Reduce defects.

- Improve quality and efficiency.

**Higher productivity =
Lower labour cost per unit**

C. Overheads

Overheads include expenses such as:

- Power and electricity
- Factory supervision
- Storage and other operating expenses

They can be reduced by:

- Eliminating unnecessary expenses.
- Using unused resources efficiently.
- Improving operational efficiency.

D. Inventory Management

Excess inventory causes:

- Storage costs
- Spoilage or obsolescence
- Pilferage

Just-in-Time (JIT) inventory helps reduce these costs by purchasing materials only when needed.

4. Biscuit Factory Example

A biscuit company produces **10,000 packets per month**.

Material Cost Saving

Flour cost reduced from **₹40/kg to ₹36/kg** through bulk/direct purchasing.

- Saving per kg = ₹4

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- Monthly purchase = 20,000 kg
- **Total monthly saving = ₹80,000**

Labour Productivity

Previously:

- 20 workers → 10,000 packets

After hiring skilled workers:

- 18 workers → 12,000 packets
- Lower defect rate and higher productivity

Result: Overall labour cost per unit decreases.

Overhead Reduction

- Rent unused warehouse space → ₹20,000 additional income
- Reduce unnecessary electricity expenses → ₹10,000 saving

Total benefit = ₹30,000 per month

Inventory Management

Using **Just-in-Time (JIT)** reduces unnecessary storage, spoilage, and handling costs.

5. Pricing and Marginal Costing

Pricing is based on cost, but in a highly competitive market, a company may need to reduce its selling price to survive.

Fixed Cost vs Variable Cost

- **Fixed Cost:** Remains constant regardless of production level.

- **Variable Cost:** Changes with the number of units produced.

Marginal Costing

Marginal costing focuses mainly on **variable costs** when making short-term pricing decisions.

It can help a company:

- Remain competitive
- Continue operations
- Retain customers
- Survive temporary competition

6. Mobile Charger Example

Original Cost per Charger

Cost	Amount
Direct Material	₹120
Direct Labour	₹30
Overheads	₹50
Total Cost	₹200

With a 10% profit margin:

Selling Price = ₹220

Competition Enters the Market

A competitor sells a similar charger for **₹170**.

The company cannot continue selling at ₹220 because customers may switch.

Using Marginal Costing

Suppose:

- Fixed overhead = ₹30
- Variable overhead = ₹20

Variable cost:

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₹120 Material + ₹30
Labour + ₹20 Variable
Overhead = **₹170**

The company may reduce its price to **₹175** to cover variable costs and remain competitive in the short term.

The company may earn little or no profit initially, but it can **continue operating and retain customers**.

★ Key Applications of Management Accounting

1. Cost Reduction

Analyze costs and reduce unnecessary expenses while maintaining quality.

2. Pricing Decisions

Use techniques like **marginal costing** to make strategic pricing decisions during intense competition.

Key Idea: Selling price is often controlled by the market, but internal costs are largely under the company's control. Therefore, controlling costs is essential for maintaining profits.

Cost Classification & Profit

1. Cost Classification

Cost classification means grouping costs based on their common characteristics.

Why classify costs?

It helps management to:

- Control costs and reduce wastage.
- Identify **controllable and uncontrollable costs**.
- Make better pricing and business decisions.

2. Direct and Indirect Costs

Direct Costs

Costs that can be **directly traced to a specific product or service**.

Examples (Table):

- Wood
- Carpenter's wages
- Nails and screws

Indirect Costs

Costs that cannot be directly linked to one specific product but are necessary for production.

Examples:

- Factory rent
- Electricity
- Factory supervisor's salary

Direct = Easily traced to a product

Indirect = Supports production but cannot be directly traced

3. Manufacturing and Non-

Manufacturing Costs

Manufacturing Costs

Costs incurred to manufacture a product.

Includes:

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- Direct and indirect materials
- Direct and indirect labour
- Factory expenses

Fixed monthly charge + additional charge based on usage.

Non-Manufacturing Costs

Costs not directly related to production.

Includes:

- Selling and distribution expenses
- Administrative expenses
- Office expenses

4. Classification Based on Cost Behaviour

Variable Cost

Changes according to the level of production or sales.

Example: Wood required to make tables.

More production →
Higher total variable cost.

Fixed Cost

Remains constant regardless of production volume (within a relevant range).

Example: Factory rent.

Production changes →
Total fixed cost remains the same.

Semi-Variable Cost

Contains both **fixed and variable components**.

Examples:

- Electricity bills
- Telephone bills

5. Special Types of Costs

Opportunity Cost

The **benefit lost by not choosing the next best alternative**.

Example: ₹10 lakh kept idle instead of investing it and earning returns.

Sunk Cost

A cost that has **already been incurred and cannot be recovered**.

Example: Money spent on setting up a factory that cannot be recovered after demand falls.

**Opportunity Cost =
Benefit sacrificed
Sunk Cost = Past cost
that cannot be
recovered**

6. Examples of Cost Classification

Cost	Classification
Plastic used to make a pen	Direct Material
Machine operator's wages	Direct Labour
Lubricants and oil for machines	Indirect Material/Expense
Storekeeper's wages	Indirect Labour

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Cost	Classification
Factory rent	Factory Overhead

7. Cost of Production and Cost of Goods Sold (COGS)

Step 1: Calculate Prime Cost

Prime Cost = Direct Material + Direct Labour + Direct Expenses

Step 2: Calculate Cost of Production

Cost of Production = Prime Cost + Factory Overheads

Step 3: Calculate Cost of Goods Sold (COGS)

Not everything produced is necessarily sold. Therefore, inventory must be adjusted.

COGS = Cost of Production + Opening Finished Goods Inventory – Closing Finished Goods Inventory

8. Gross Profit and Net Profit

Gross Profit

Gross Profit = Sales – Cost of Goods Sold

It shows the profitability of the **core production or trading activity.**

Net Profit

Net Profit = Gross Profit – Indirect Expenses

Indirect expenses include:

- Selling and distribution expenses
- Administrative expenses

- Interest and financial expenses

It shows the **overall profitability of the business.**

9. Why Analyze Both Gross and Net Profit?

Gross Profit helps evaluate:

- Efficiency of core business operations.
- Whether production costs are under control.

Net Profit helps evaluate:

- Overall efficiency of the business.
- Impact of administrative, selling, and financial expenses.

Example

A company may have a **high gross profit but low net profit** because of high interest, administrative, or selling expenses.

Therefore, comparing both helps management identify **where cost control is needed.**

10. Cost Sheet Example

Given:

Item	Amount
Direct Material	₹4,00,000
Direct Labour	₹1,50,000
Direct Expenses	₹50,000
Prime Cost	₹6,00,000
Factory Overheads	₹2,00,000

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Item	Amount
Cost of Production	₹8,00,000

Calculate COGS

₹8,00,000 + ₹1,20,000 Opening Inventory – ₹80,000 Closing Inventory

COGS = ₹8,40,000

Calculate Gross Profit

Sales ₹12,00,000 – COGS

₹8,40,000 = ₹3,60,000

Calculate Net Profit

Indirect Expenses:

- Administrative = ₹80,000
- Selling & Distribution = ₹60,000
- Interest = ₹20,000
- Total = ₹1,60,000

Net Profit = ₹3,60,000 – ₹1,60,000 = ₹2,00,000

Quick Formula Revision

- ❖ Prime Cost = Direct Material + Direct Labour + Direct Expenses
- ❖ Cost of Production = Prime Cost + Factory Overheads
- ❖ COGS = Cost of Production + Opening Inventory – Closing Inventory
- ❖ Gross Profit = Sales – COGS
- ❖ Net Profit = Gross Profit – Indirect Expenses

Why Learn Negotiation?

Negotiation is important because it helps us:

- Avoid common mistakes and traps.
- Protect our interests.
- Identify opportunities for mutual benefit.
- Make better decisions.
- Understand the other party's interests.
- Resolve conflicts.
- Create better agreements.

Four Major Negotiation Traps

There are **four common traps**:

1. Leaving Money on the Table

2. Settling for Too Little — Winner's Curse

3. Walking Away from the Table

4. Accepting Terms Worse Than Your Current Situation

Trap 1 — Leaving Money on the Table

Meaning

This happens when negotiators **fail to recognize or maximize the potential gains** available in a negotiation.

In simple words:

You reach an agreement, but you could have obtained a much better outcome.

Example

Suppose:

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- Seller is willing to sell for ₹80,000.
- Buyer is willing to pay up to ₹1,00,000.
- They agree at ₹80,000 immediately.

The buyer could have paid more, but the seller did not explore the buyer's willingness to pay.

So, **potential value was left unused.**

Why does this happen?

Cultural differences

Some cultures communicate:

- Directly
- Indirectly

If one party communicates indirectly, the other party may fail to understand the actual opportunity.

Personality differences

Some people are:

- **Assertive** → actively make proposals.
- **Passive** → quickly accept proposals.

A passive negotiator may simply accept what is offered instead of exploring whether a better agreement is possible.

Key idea

Don't just accept the first reasonable offer.
Explore whether additional value can be created for both sides.

Trap 2 — Settling for Too Little / Winner's Curse

Meaning

The **winner's curse** occurs when you successfully reach a deal but later realize that you accepted **far less than you could have obtained.**

Example

You are willing to sell something for ₹50,000.

The buyer immediately offers ₹50,000 and you accept.

Later, you discover that the buyer would have paid ₹70,000.

You technically **won the negotiation**, but you gained much less than possible.

That's the **winner's curse.**

Concessions

Negotiations often involve **concessions.**

A concession means giving up something to move toward an agreement.

Examples:

- Reducing price.
- Increasing delivery time.
- Offering additional services.
- Giving extra holidays.
- Changing payment terms.

Important point

Concessions are normal, but giving a **large concession too early** can reduce your bargaining power.

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If you make a huge concession at the beginning:

Large concession → Less bargaining room → Smaller final gain

Therefore, concessions should be made **carefully and strategically**.

Trap 3 — Walking Away from the Table

Walking away means **rejecting the proposed deal and ending the negotiation**.

Walking away can be good

If the proposed deal is clearly worse than your alternatives, walking away can be the correct strategy.

But walking away can also be a trap

Sometimes people walk away because of:

- Pride
- Ego
- Greed
- Anger
- Overconfidence
- Emotional reactions

Instead of objective analysis.

Example

A large company negotiates with a small startup.

The large company thinks:

"We are a big company.
We can find another supplier."

But the startup has a unique technology that could provide significant value.

The large company rejects the deal because of **pride or overconfidence**.

Later, it realizes that finding an equivalent technology is difficult.

Lesson

Don't confuse **ego with strategy**.

Before walking away, ask:

"Is this deal actually bad, or am I rejecting it because of emotion?"

Walking Away: Strategy vs Emotion

Strategic Walk-Away	Emotional Walk-Away
Based on objective analysis	Based on feelings
Deal is genuinely unacceptable	Ego/pride is involved
Alternative is better	Assumption that something better will appear
Protects your interests	May destroy a valuable opportunity

Key question

Do you actually have a better alternative, or do you only **believe** you will find one?

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Trap 4 — Accepting Terms Worse Than Your Current Situation

This happens when someone agrees to a deal that is **worse than what they already have**.

Example

Suppose you currently earn:

₹50,000/month

A company offers:

₹45,000/month

You accept it simply because you are desperate for a job.

You have accepted a situation **worse than your current one**.

Why does this happen?

Desperation

People may become desperate because they need an immediate solution.

Time pressure

Under pressure, people may make poor decisions.

Lack of preparation

They may not understand:

- Their current situation.
- Their alternatives.
- The real value of the proposed deal.

Desire to close the deal

Sometimes people become so focused on **reaching an agreement** that they forget to ask whether the agreement is actually good.

Key idea

Getting a deal is not the same as getting a good deal.

Knowing a Trap vs Avoiding a Trap

Simply knowing negotiation traps is **not enough**.

There is a difference between:

Understanding → Knowing what the trap is

and

Performing → Actually avoiding the trap during negotiation

During real negotiations, emotions, pressure, and uncertainty can cause people to make mistakes even when they know the theory.

Therefore, negotiators should continuously ask:

- Am I leaving value on the table?
- Am I accepting too little?
- Am I walking away for the right reason?
- Is this deal better than my current alternative?

11. Why Do People Negotiate?

People negotiate because they **cannot always achieve their desired outcome alone**.

Negotiation allows people to:

- Make decisions together.
- Reach agreements.
- Resolve conflicts.
- Protect their interests.
- Exchange value.

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- Find mutually beneficial solutions.

Simple example

A buyer and seller need each other:

Buyer → wants the product

Seller → wants the buyer's money

They need to reach an agreement, so they negotiate.

12. Interests and Priorities

One of the most important ideas in negotiation is:

People may negotiate about the same thing but have different interests.

For example, two people may negotiate about a **salary**. But their priorities can be completely different.

Employee A

Wants:

Higher salary

because they have significant financial responsibilities.

Employee B

May prefer:

More holidays / flexible working

because work-life balance is more important.

Therefore, salary is not necessarily the only thing being negotiated.

Position vs Interest

Position

What someone **says they want**.

Example:

"I want ₹80,000 salary."

Interest

Why they want it.

Example:

"I need higher income because I have financial responsibilities."

Another employee may say:

"I want ₹70,000 and more holidays."

Their underlying interest may be:

"I value time with my family."

Important

If we only focus on **positions**, we may miss opportunities.

If we understand **interests**, we can potentially create a better agreement.

Negotiation Is About More Than Money

Different people value different things.

Possible negotiation factors include:

- Salary
- Holidays
- Promotion
- Training
- Career development
- Flexible working
- Working conditions
- Recognition
- Responsibilities
- Project opportunities
- Job security

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Example

An employee may accept a slightly lower salary in exchange for:

Training + Career Development + Better Project

because these may create greater long-term value.

Different People Have Different Values

The same offer can have different values for different people.

For example:

Person A values:

💰 Money

Person B values:

🕒 Free time

Person C values:

📈 Career growth

Person D values:

🏆 Achievement / recognition

Therefore:

Value is not always equal to money.

A good negotiator tries to understand **what the other party actually values**.

16. Conflict and Negotiation

Negotiation is often required because people have **different interests, priorities, or perceptions**.

Example

An employee wants:

Deadline extension

The manager wants:

Work completed on time

There is a conflict.

Negotiation can help them find a solution.

For example:

Employee: "I need one extra week."

Manager: "I need the important part completed by Friday."

Possible solution:

Employee submits the critical portion by Friday and completes the remaining work later.

This is an example of **finding a solution that reduces conflict**.

Numbers Are Not Always Objective

Business negotiations often involve numbers:

- Salary
- Price
- Budget
- Revenue
- Cost
- Delivery time
- Performance targets

But people can interpret the same number differently.

For example:

₹60,000 salary

may seem:

- Very high to one person.
- Average to another.

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- Too low to someone with specialized skills.

Therefore:

A number may be objective, but the **perceived value of that number can differ between people.**

Questions to Ask Before Negotiating

Before entering a negotiation, understand:

1. Why are we negotiating?

What requires an agreement?

2. What are my interests?

What do I actually need?

3. What are their interests?

What does the other party care about?

4. What are our priorities?

Which issues matter most?

5. What does each side value?

Is it money, time, quality, flexibility, growth, etc.?

6. What conflict exists?

Where do our interests differ?

7. What possible solutions exist?

Can we create an outcome that benefits both sides?

Negotiation Happens Everywhere

Negotiation is **not limited to business.**

It happens in many situations.

Business

- Buying and selling

- Supplier contracts
- B2B agreements
- Technology deals

Employment

- Salary
- Promotion
- Working conditions
- Holidays
- Training

International Relations

- Countries negotiating agreements.
- Environmental policies.
- CO₂ emission targets.
- Trade and cooperation.

Labour Relations

Workers and organizations negotiate about:

- Salary
- Working conditions
- Holidays
- Safety
- Benefits

Consumer Markets

Customers negotiate:

- Prices
- Products
- Services

Online C2C Platforms

Buyers and sellers negotiate:

- Price
- Delivery
- Product condition

Technology / Sales

Negotiations may involve:

- Technology implementation.
- Delivery.

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- Responsibilities.
- Failure recovery.
- Support.
- Defects.

Housing

Negotiation can involve:

- Price
- Furniture
- Contract conditions
- Responsibilities

Shared Communities

People negotiate about:

- Maintenance
- Waste management
- Common facilities
- Community activities

- How resources are distributed.
- Who is responsible for results.
- Which activities receive priority.
- How different departments work together.

Therefore, **data itself can become a subject of negotiation.**

People may negotiate about who owns the data, how it is interpreted, what KPI should be used, and who is accountable for the result.

Dashboard Ownership & KPI Control

1. Dashboard + KPI and Negotiation

In modern **retail and technology companies**, dashboards and KPIs are not just reporting tools.

KPI = Key Performance Indicator

A KPI is a **measurable value used to check how well a person, team, department, or company is achieving a specific goal.**

They influence:

- How performance is measured.
- How departments are evaluated.

2. What is a Dashboard?

A **dashboard** is a visual system that combines important business data and metrics in one place.

It allows managers to quickly understand:

- What is happening?
- Is performance improving or declining?
- Where is the problem?
- Which area needs attention?

Simple analogy

A car dashboard shows:

- Speed
- Fuel level
- Warning signals
- Engine information

Similarly, a business dashboard shows:

- Sales

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- Customers
- Inventory
- Profit
- Conversion
- Delivery performance
- Other KPIs

3. Common Retail KPIs

Retail dashboards may track:

KPI	What it tells us
Sales Growth	How quickly sales are increasing/decreasing
Inventory Turnover	How quickly inventory is sold
Customer Conversion Rate	How many potential customers become buyers
Delivery Speed	How quickly orders are delivered
Return Rate	How many products are returned
Customer Satisfaction	How satisfied customers are

Why are these important?

Retail changes quickly, so managers need to identify problems **early** and take action.

4. Example: Inventory vs Sales

Suppose the dashboard shows:

Inventory turnover is low.

The operations team may say:

"We should reduce inventory."

But the sales team may disagree:
"If we reduce inventory too much, products may become unavailable."

This can cause:

Low inventory → Product unavailable → Customer dissatisfaction → Lost sales

Therefore, both departments may look at the **same data** but reach different conclusions.

Key point

Data provides evidence, but departments may interpret that evidence differently because their interests are different.

5. Technology Company KPIs

Technology companies may focus on digital KPIs such as:

- Active users
- Platform uptime
- Response time
- User engagement
- Conversion rate
- Subscription retention
- Cloud costs
- Cybersecurity
- Feature adoption

For example:

Subscription business

A company may see:

Many new subscriptions
but later discover:

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Customers cancel when the promotion ends.

So simply counting new subscriptions may not show the real business performance.

6. What Makes a Good Dashboard?

A useful dashboard should:

1. Centralize data

Bring information from multiple sources into one place.

Example:

Sales + Marketing + Finance + Operations → Dashboard

2. Standardize metrics

Everyone should use the same definitions.

For example:

What exactly counts as a "new customer"?

3. Provide a consistent reference point

Different departments should be able to work from the same trusted data.

4. Enable faster decisions

Real-time or regularly updated dashboards allow managers to react quickly.

5. Improve transparency

Everyone can see relevant performance indicators.

6. Improve accountability

It becomes clearer who is responsible for particular results.

7. Single Source of Truth

A single source of truth means:

Everyone uses the same consistent and trusted data source when making decisions.

Example

Marketing says:

"We acquired 1,000 new customers."

Finance says:

"Only 700 are actually valuable customers."

Why could this happen?

Marketing may count everyone who registered.

Finance may exclude people who:

- Cancelled immediately.
- Refunded.
- Did not make a purchase.
- Did not remain active.

Therefore, having one dashboard

does not automatically create one truth.

The definitions behind the KPIs must also be standardized.

8. The KPI Problem

A dashboard can show the same data to everyone, but departments may still have **different definitions of success.**

This happens because departments have different:

- Goals
- Incentives
- Responsibilities
- Priorities

Business Data Management (Part - 5)

Different departments may focus on different KPIs

Department	Main focus
Marketing	Leads, engagement, conversion
Sales	Closed deals, revenue
Finance	Profit, margin, cost control
Product	Growth, user engagement, feature adoption
IT / Infrastructure	Stability, uptime, performance
Cybersecurity	Risk reduction, security
Operations	Efficiency, inventory, cycle time
Executives	Overall business performance

9. Same Event, Different Interpretation

Suppose the company makes a sale.

Sales team:

"We generated revenue."

Marketing:

"We acquired a new customer."

Finance:

"How much profit did we actually make after costs?"

Operations:

"How efficiently did we fulfill the order?"

All are looking at the **same business activity**, but each department evaluates it differently.

10. Revenue vs Profit Example

Suppose a salesperson generates:

₹1,00,000 revenue

Sales may consider this a great result.

But Finance asks:

- How much did the product cost?
- What were transportation costs?
- What were travel expenses?
- What were other operating costs?
- Were discounts given?
- Were refunds made?

Suppose total costs = **₹80,000**.

Then:

Revenue = ₹1,00,000

Cost = ₹80,000

Profit = ₹20,000

So:

High revenue does not necessarily mean high profit.

This is why different departments may disagree about what "good performance" means.

Business Data Management (Part - 5)

11. Why Departments Negotiate KPI Definitions

Departments want their performance to be represented fairly.

They may negotiate about:

- What KPI should be used?
- How should the KPI be calculated?
- What should the target be?
- Who is accountable?
- Which department receives credit?
- Which department receives resources?
- How should performance affect bonuses?

Example

Marketing wants campaign success measured by:

Customer traffic + engagement

Finance wants:

Profitability

Sales wants:

Revenue / closed deals

Cybersecurity wants:

Risk reduction

Therefore:

KPI selection can become a negotiation between departments.

12. Dashboard as a Negotiation Space

A dashboard may look like a **technical tool**, but it can become

an organizational **political and interpretive space**.

Why?

Because controlling the dashboard can influence:

- What management sees.
- Which performance looks better.
- Which department gets resources.
- Who gets blamed.
- Who receives credit.
- Which projects receive priority.

Therefore:

Data ownership = influence over decision-making.

13. Dashboard Ownership

Departments may compete over:

- Who owns the dashboard?
- Who controls the KPI definitions?
- Who controls the data?
- Who decides what is displayed?
- Who sets the targets?
- Who has final authority?

This can create:

Data ownership → Power → Decision influence

14. Transparency vs Control

Transparency sounds positive because everyone can see the data.

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But complete transparency can sometimes create problems.

For example:

A department may ask:

"Why do we need to see this KPI? It isn't relevant to our work."

Too much information can create:

- Confusion
- Unnecessary comparison
- Political conflict
- Information overload

Therefore, organizations must decide:

What should be visible to everyone and what should be restricted?

15. Centralization vs Departmental Autonomy

Another major conflict is:

Centralized Control

One central authority controls:

- KPI definitions
- Dashboard design
- Data standards
- Targets

Advantages:

- Consistency
- Standardization
- Easier comparison

Disadvantages:

- Departments may feel powerless.
- Employees may become less motivated.
- Local needs may be ignored.

Departmental Control

Each department has more control over its own KPIs.

Advantages:

- More flexibility
- Department-specific metrics
- Greater ownership

Disadvantages:

- Different definitions
- Conflicting reports
- Difficult comparison
- Multiple versions of "truth"

Core challenge

How much control should be centralized, and how much should remain with individual departments?

16. Dashboard Shows WHAT, Not Always WHY

This is one of the most important concepts.

A dashboard may show:

Sales decreased by 20%.

But it may not explain **why**.

Different departments may give different explanations:

Marketing:

"The marketing campaign failed."

Sales:

"The pricing is too high."

Product:

"The product quality is poor."

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Operations:

"There were delivery problems."

Therefore:

Dashboard shows what happened, but interpretation is required to understand why it happened.

This is where negotiation and conflict arise.

17. KPI Conflict

When departments disagree about KPIs:

Different priorities

↓

Different KPI definitions

↓

Different interpretation of performance

↓

Conflict

↓

Negotiation

↓

Agreement on definitions/targets/responsibility

18. Real-World Example — Amazon

A large organization such as Amazon can have different divisions with different data needs and analytical perspectives.

For example:

- Retail operations may focus on retail performance.
- Technology/cloud teams may focus on digital performance.
- Marketing may focus on customer engagement.
- Different teams can therefore develop different interpretations of customer data.

This can create **data silos and inconsistent customer insights.**

Lesson

Large organizations can have multiple teams looking at the same customer from different perspectives.

19. E-Commerce vs Physical Retail

Consider a customer who:

1. Visits a physical store.
2. Examines the product.
3. Later purchases it online.

Who should receive credit?

Physical store says:

"We helped the customer make the decision."

E-commerce team says:

"We completed the sale."

This creates a KPI and bonus problem.

Questions arise:

- Who gets the sales credit?
- Should the bonus be shared?

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- How should the dashboard track the customer's journey?
- Which channel contributed to the purchase?

This is a **data + KPI + negotiation problem**.

20. Stakeholders and Their Priorities

Stakeholder	Main Concern
Marketing	Engagement, conversion, campaigns, brand
Sales	Revenue, closed deals
Finance	Revenue, profit, margins, costs
Operations	Efficiency, inventory, cycle time
IT/Data	Data accuracy, reliability, timeliness
Executives	Overall business performance

Executive perspective

Executives generally need a **unified view** so they can make organization-wide decisions. They may use frameworks such as a **Balanced Scorecard** to evaluate performance across multiple dimensions rather than relying on one KPI.

21. Major Negotiation Tensions

Dashboard and KPI management creates several important tensions:

1. Control vs Collaboration

Should one team control the dashboard, or should departments collaborate?

2. Accuracy vs Speed

Should we use:

Fast real-time data

or

Slower but more validated data?

Real-time does not always mean accurate.

3. Departmental vs Corporate Priorities

Should each department optimize itself?

Or should everyone optimize for:

Overall company performance?

4. Transparency vs Confidentiality

Should everyone see all metrics?

Or should some information be available only on a **need-to-know basis?**

5. Standardization vs Flexibility

Should every department use the same KPI definitions?

Or should departments have customized metrics?

22. The Central Problem

The biggest issue is not simply:

"How do we build a dashboard?"

The deeper question is:

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"Who decides what the dashboard means?"

Because KPI definitions influence:

- Performance evaluation
- Resource allocation
- Budgets
- Bonuses
- Reputation
- Accountability
- Strategic priorities

Therefore, dashboard governance becomes an **organizational negotiation problem**, not merely a technical problem.

23. Simple Example to Remember

Imagine a company has a KPI:
"Customer Success"

Marketing says:

Customer Success =
1,000 new registrations

Sales says:

Customer Success = **700 purchases**

Finance says:

Customer Success = **₹50 lakh profitable revenue**

Customer Support says:

Customer Success =
High customer satisfaction

All four may use the same dashboard but define success differently.

So the organization must negotiate:
What exactly does "Customer Success" mean?

Dashboard Ownership & KPI Control — Conflict Management & Governance

This part explains **how organizations can manage conflicts between departments over dashboards and KPIs** and create better, more consistent decisions.

1. Why Do We Need KPI Governance?

Different departments often have different:

- Goals
- Priorities
- KPI definitions
- Data sources
- Performance measures

This can create conflict.

A proper **KPI governance process** helps the organization:

- Reduce conflicts between departments.
- Build trust in shared data.
- Clearly define accountability.
- Decide what information should be transparent.
- Balance short-term operations with long-term strategy.
- Create consistent performance measurement.

Main idea

KPI governance = a structured way to

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decide how KPIs are defined, measured, controlled, and approved.

Active customer = customer who interacted/purchased within the last **90 days**.

2. Layer 1 — KPI Owner

The **KPI owner** is usually the relevant business/operational department.

Examples:

- Sales
- Marketing
- Finance
- Logistics
- Customer Service
- E-commerce

Main responsibility

The KPI owner explains:

What does this KPI mean from the business/operational perspective?

They may propose:

- KPI definition
- Formula
- Measurement logic
- Target
- Reporting requirements

Example: Active Customer

The e-commerce team may define:

Active customer = customer who purchased within the last **30 days**.

The loyalty team may define:

Both definitions may make sense because their operational objectives are different.

Therefore, the KPI owner provides the **business context**, but should not necessarily make the final decision alone.

3. KPI Owner Example — Store Performance

Suppose a retail company has many stores.

Store manager

May prefer:

Total store revenue

because they are responsible for the entire store.

Regional manager

May prefer:

Revenue per square metre

because stores have different sizes.

Marketing

May prefer:

Customer foot traffic

because marketing campaigns can increase visits even if customers purchase later.

So there is no immediate agreement about the best KPI.

The KPI governance process allows these different perspectives to be

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discussed before the KPI becomes official.

4. KPI Owner in Technology

Companies

Suppose a technology company measures **system downtime**.

Infrastructure team

May define downtime very strictly:

Any interruption =
downtime.

Because system reliability is their responsibility.

Product team

May use a broader definition:

Minor interruptions
that users barely notice
should not count as
significant downtime.

Both teams have legitimate operational reasons.

The KPI owner therefore provides the **operational reality**, but the KPI must eventually be aligned with the organization's wider goals.

5. Layer 2 — Data Governance / Analytics Team

The second layer is the **Data Governance or Analytics Team**.

Their role is to act as a **neutral technical function**.

They don't primarily represent one department.

Their responsibilities include:

- Check whether the required data exists.

- Check data quality.
- Check data reliability.
- Check whether data is updated consistently.
- Convert business definitions into technical calculations.
- Create consistent formulas/queries.
- Ensure the KPI works across different systems.
- Identify the authoritative data source.

6. Why Is the Data Team

Important?

Modern organizations often have data coming from many systems.

Different departments may believe:

"Our system is the most accurate."

The data governance team helps determine:

**Which data source
should be authoritative
for a particular KPI?**

7. Example of Data Governance

Business team says:

"We want to measure customer retention."

The data team asks:

- What exactly is a retained customer?
- Which database contains customer information?
- What time period should be used?

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- Are cancelled subscriptions excluded?
- Are refunds excluded?
- Is the data updated daily?
- Can the calculation be reproduced consistently?

So:

Business team → defines the business meaning

Data team → validates the technical measurement

8. Layer 3 — KPI Steering Committee

The **KPI Steering Committee** is the highest level of KPI governance. Its main role is to make final decisions.

Responsibilities

- Approve KPI definitions.
- Resolve conflicts between departments.
- Decide which metrics become official.
- Align KPIs with corporate strategy.
- Decide whether exceptions are allowed.
- Prioritize important metrics.
- Balance short-term and long-term objectives.

Simple idea

**KPI Owner proposes →
Data Team validates →
Steering Committee
approves**

9. Why Do We Need a Steering Committee?

Sometimes two departments both have valid arguments.

Example

Product team:

"We need faster feature releases."

Cybersecurity team:

"We need stronger security and fewer incidents."

Both objectives are important.

But the company needs to decide:

Should speed or security receive greater priority?

The steering committee provides the authority to make that organization-wide decision.

10. KPI Approval Process

The process can be remembered as:

1. Business department proposes KPI



2. Define business meaning



3. Data/Analytics team validates



4. Check data quality & availability



5. Check calculation & integration



6. Departments discuss disagreements

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- ↓
7. Steering Committee decides
↓
8. KPI becomes official
↓
9. KPI appears in dashboard
↓
10. Review periodically

11. Conflict Management

KPI conflicts should not simply be ignored.

Organizations need a process for resolving them.

Without governance

Department A

↓
Pushes its KPI

↓
Department B disagrees

↓
Conflict

↓
Blaming / politics

↓
Loss of trust

With governance

Different KPI proposals

↓
Business discussion

↓
Data validation

↓
Objective comparison

↓
Steering committee

↓

Common decision

↓
Trusted KPI

12. One KPI — One Official Definition

An important principle is:

One official KPI should have one official organizational definition.

Different departments should not maintain competing official versions of the same KPI.

Bad situation

Marketing:

"Active customer = 30 days"

Finance:

"Active customer = 60 days"

Sales:

"Active customer = 90 days"

Now everyone reports a different number.

Better situation

Organization agrees:

Official Active Customer = customer who meets the agreed definition within the specified period.

Departments can still perform additional analysis internally, but the **official organizational KPI** remains standardized.

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13. Centralized Dashboard

A centralized dashboard helps ensure:

- Consistent reporting.
- Common KPI definitions.
- Less confusion.
- Better trust.
- Easier comparison between departments.
- Better collaboration.

Instead of departments arguing:

"My number is correct."

They can focus on:

"Given the same number, what should we do?"

This moves the organization from **data conflict** toward **decision-making**.

14. But Centralization Does NOT Mean No Flexibility

Business conditions change.

Therefore, KPIs should not be permanently fixed.

They should be reviewed periodically.

Possible review:

- Quarterly
- Annually
- When business strategy changes
- When regulations change
- During major external events

15. Why KPI Review Is Necessary

Business environments change.

Examples include:

- Major economic changes.
- New regulations.
- Supply-chain disruptions.
- Changes in customer behavior.
- Digital transformation.
- Geopolitical events.
- New technologies.

A KPI that was useful previously may become less useful later.

Example

Before a major disruption:

Delivery speed may be the main KPI.

During a supply-chain crisis:

Supply availability and resilience may become more important.

Therefore:

KPIs should evolve with the business environment.

16. Standardization + Flexibility

The ideal approach is a balance:

Standardization

Ensures:

- Consistency
- Comparability
- Trust
- Common definitions

Flexibility

Allows:

- New KPIs
- Changing business conditions

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- Different strategic priorities
- Contingency measures

Senior leadership should help resolve serious conflicts.

Key idea

Standardize the core, but allow controlled flexibility when circumstances change.

17. Important Governance

Principles

A good KPI governance system should have:

1. Clear roles

Everyone knows:

- Who proposes?
- Who validates?
- Who approves?

2. Clear decision rights

There should be no confusion about who has final authority.

3. Transparent communication

People should understand:

- What the KPI means.
- How it is calculated.
- Where the data comes from.

4. Data validation

The organization should verify:

- Accuracy
- Quality
- Consistency
- Availability

5. Balanced approach

Consider the interests of different departments while keeping the **overall company objective** in mind.

6. Executive sponsorship

18. Executive Sponsorship

Some conflicts cannot be solved at the department level.

For example:

Sales wants revenue growth while

Finance wants profitability while

Operations wants efficiency while

Cybersecurity wants risk reduction

Senior leadership can step in and ask:

"Which combination best supports the company's overall strategy?"

This prevents departments from fighting indefinitely.

19. Short-Term vs Long-Term

A good governance system must balance:

Short-term goals

- Daily sales
- Current revenue
- Immediate efficiency
- Current operational problems

Long-term goals

- Customer loyalty
- Brand reputation
- Security

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- Innovation
- Sustainable growth

Example

A company could increase sales through huge discounts.

Short term: Sales ↑

But:

Profit ↓

and potentially:

Brand value ↓

So the best KPI system should not encourage departments to optimize one number while damaging the overall organization.

KPI Governance

KPI governance is the structured process of defining, validating, approving, monitoring, and reviewing KPIs so that they support organizational goals.

Three Layers

Layer	Role
1. KPI Owner	Defines business meaning and proposes KPI
2. Data/Analytics Team	Validates data, quality, consistency and technical calculation
3. KPI Steering Committee	Gives final approval and resolves conflicts

Remember:

Owner → Validator → Decision Maker

Data Protection & Trust

1. Core Idea

Data-driven innovation means using data, AI, analytics, and digital technologies to improve services and decisions.

But there is a constant tension:

**Innovation needs data
access ↔ Data
protection needs
restricted access**

This creates the need for **negotiation and data governance.**

2. Healthcare Sector

Healthcare uses data for:

- **AI-assisted diagnosis** → supports doctors in finding possible problems.
- **Predictive patient monitoring** → predicts health risks.
- **Digital health platforms** → reports, reminders, appointments.
- **Hospital dashboards** → monitor beds, staff, waiting times.
- **Preventive healthcare** → detect diseases early and reduce treatment costs.

Main concern:

Patient data is highly sensitive.

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Wrong or leaked data can cause:

- Privacy violations
- Wrong diagnosis/treatment
- Loss of patient trust
- Legal/regulatory problems

3. Banking & Finance

Banks use data-driven technologies for:

- **Credit scoring** → decide whether someone can repay a loan.
- **Fraud detection** → identify suspicious transactions.
- **Risk management** → evaluate financial risks.
- **Algorithmic trading** → automated buying/selling decisions.
- **Customer customization** → recommend products based on customer behavior.
- **Online/cloud banking** → digital access to financial services.

Main concern:

Financial data is sensitive because data leaks can cause:

Money loss + Fraud + Privacy problems + Loss of trust

4. Why Does Negotiation Happen?

Different teams have different priorities.

Team	Main Priority
Business	Growth & customer

Team	Main Priority
	experience
Innovation	Fast development
IT	Security & technology
Legal	Compliance
Data team	Data quality & protection
Customers	Privacy & trust
Executives	Overall business strategy

Example

Innovation team:

"Give us more customer data so we can improve our AI."

Legal team:

"More data access creates privacy and compliance risks."

IT team:

"We need to make sure the data is secure."

➡ **Negotiation is required to find a balance.**

5. Data Protection vs Innovation

Innovation wants:

- More data
- Faster access
- More experimentation
- Faster product launch

Protection wants:

- Limited access
- Security
- Privacy

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- Legal compliance
- Customer consent

The goal:

Find the safest level of data access that still allows useful innovation.

6. Stakeholders

Important stakeholders include:

- Legal team
- Data protection/privacy team
- IT team
- Cybersecurity team
- Business team
- Innovation team
- Customer service
- External technology providers
- Customers
- Executive leadership
- Regulators

Why include them?

Because a decision that is good for one stakeholder may be bad for another.

7. Privacy by Design

Instead of:

Build product → Launch
→ Problem occurs →
Fix privacy issue

Use:

Consider privacy from the beginning of product design.

Privacy by Design means:

1. Identify stakeholders.
2. Identify sensitive data.
3. Identify possible risks.
4. Decide who can access the data.
5. Build security into the system.
6. Consider transparency and consent.
7. Review privacy before launch.

Goal: Prevent problems instead of becoming a "firefighter" after a data breach.

8. Technology Solutions

Organizations can use:

- Encryption
- Access control
- Authentication
- Data anonymization
- Privacy-preserving analytics
- Privacy-aware AI/ML
- Secure cloud systems

A useful idea is:

Use data for analysis without unnecessarily exposing personal information.

9. Building Trust

Data protection is not only a technical issue.

It affects:

**Data protection → Customer trust
→ Reputation → Business success**

If customers lose trust:

- They may stop using the service.

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- They may stop sharing data.
- The company may lose business.
- Reputation can be damaged.
- Regulatory penalties may occur.

10. Data Breach Example

The lecture discusses a healthcare breach involving **1.5 million patient records**.

The important lesson is:

A data breach is not just a technical problem.

It can cause:

**Privacy loss → Customer distrust
→ Reputation damage →
Regulatory action → Business impact**

11. Key Resolution Strategies

Organizations should:

1. Create data governance

- Define who controls data.
- Define who can access it.
- Establish clear responsibilities.

2. Involve stakeholders early

- Legal + IT + business + cybersecurity should work together.

3. Use Privacy by Design

- Privacy should be considered from the start.

4. Use risk-based decisions

- Not every piece of data has the same level of risk.

5. Be transparent

- Tell customers how their data is collected and used.

6. Balance innovation and protection

- Don't completely stop innovation.
- Don't ignore privacy for faster innovation.

7. Regularly review policies

- Business, technology, and regulations change over time.

12. Most Important Concept

Data Governance is NOT just about managing data.

It is about:

Managing data in a way that creates business value while maintaining security, compliance, privacy, and stakeholder trust.

Remember this equation:

Innovation + Data Access



Negotiation + Governance



Privacy + Security + Compliance



Trust + Better Business Outcomes

Essential Keywords

1. **KPI** — Key Performance Indicator; measures performance.

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2. **KPI Governance** — Rules for defining, managing, and approving KPIs.
3. **KPI Owner** — Department/person responsible for defining a KPI.
4. **Data Governance** — Managing data quality, access, security, and responsibility.
5. **Dashboard** — Visual display of important KPIs and data.
6. **Stakeholder** — Person/team affected by or involved in a decision.
7. **Negotiation** — Process of reaching an agreement between different interests.
8. **Conflict** — Disagreement caused by different priorities or goals.
9. **Data Quality** — Accuracy, completeness, and reliability of data.
10. **Data Protection** — Protecting data from misuse, leaks, or unauthorized access.
11. **Data Privacy** — Protecting people's personal information.
12. **Sensitive Data** — Data requiring special protection, e.g. medical/financial data.
13. **Data Breach** — Unauthorized access or leakage of data.
14. **Cybersecurity** — Protection of systems and data from cyber threats.
15. **GDPR** — European regulation for protecting personal data and privacy.
16. **Regulatory Compliance** — Following laws and regulations.
17. **Risk Management** — Identifying and reducing potential risks.
18. **Privacy by Design** — Building privacy and security into a system from the beginning.
19. **Data-Driven Innovation** — Using data, AI, and analytics to improve products/services.
20. **AI-Assisted Decision Making** — AI supports humans in making decisions.
21. **Transparency** — Clearly communicating how data is collected, used, and measured.
22. **Accountability** — Clearly defining who is responsible for data/decisions.
23. **Customer Trust** — Confidence that an organization will use and protect data properly.

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- 24. **Centralized Dashboard**
— One standard dashboard used across the organization.
- 25. **Innovation vs Privacy**
— The main tension: **using more data for innovation while protecting privacy.**

Core flow

Data → Innovation → Different Stakeholders → Conflict → Negotiation → Governance → Privacy & Compliance → Trust

Additional Essential Terms

- 1. **Operational Efficiency** — Doing business activities with less time/cost/resources.
- 2. **Resource Allocation** — Deciding where people, money, and resources should be used.
- 3. **Performance Metric** — A measure used to evaluate performance.
- 4. **Corporate Strategy** — Organization's long-term direction and goals.
- 5. **Short-term Goal** — Objective to achieve in the near future.
- 6. **Long-term Strategy** — Plan focused on future organizational success.
- 7. **Standardization** — Using the same definitions and methods across teams.

- 8. **Data Consistency** — Same data gives the same meaning/result across systems.
- 9. **Authoritative Data Source** — Official/trusted source for a particular data or KPI.
- 10. **Data Integration** — Combining data from different systems.
- 11. **Executive Sponsorship**
— Senior management support for a decision/project.
- 12. **Decision Rights** — Who has authority to make a particular decision.
- 13. **Contingency** — Adjusting plans when business/environmental conditions change.
- 14. **FinTech** — Technology used to provide financial services.
- 15. **Algorithmic Trading** — Using algorithms to automatically buy/sell financial assets.
- 16. **Credit Scoring** — Evaluating a person's creditworthiness.
- 17. **Fraud Detection** — Identifying potentially fraudulent activity.

Business Data Management (Part - 5)

18. **Predictive Analytics** — Using data to predict future outcomes.
19. **Preventive Healthcare** — Detecting/preventing health problems before they become serious.
20. **Patient Monitoring** — Continuously tracking patient health information.
21. **Regulatory Risk** — Risk of violating laws or regulations.
22. **Legal Liability** — Legal responsibility for harm or violations.
23. **Reputational Risk** — Risk of losing public/customer trust.
24. **Competitive Advantage** — Something that helps a company outperform competitors.
25. **Customer Consent** — Customer's permission to collect/use their data.
26. **Data Access Control** — Controlling who can access particular data.
27. **Data Minimization** — Collecting/using only the data that is necessary.
28. **Encryption** — Converting data into a protected form.
29. **Anonymization** — Removing identifying information from data.
30. **Differential Privacy** — Technique that protects individual information while allowing useful analysis.
31. **Distributed Responsibility** — Responsibility shared across different teams.
32. **Risk-Based Approach** — Making decisions based on the level of potential risk.
33. **Trust Building** — Actions that increase stakeholder confidence.
34. **Approval Bottleneck** — Delay caused by waiting for approvals.
35. **Public Accountability** — Responsibility to explain decisions/actions to the public or regulators.
36. **Data Misuse** — Using data for an unauthorized or inappropriate purpose.
37. **Data Exposure** — Data becoming accessible to unauthorized people.